

In this case, we see that the operating asset turnover ratio for this company has always remained around 4. It's only in the last year- FY2021 that the operating asset turnover for the company has taken a significant dip. This happened because the company acquired another company in the last financial year, and its assets increased without a corresponding sales increase. This may return to normal once the consolidation is complete, revenue is restored, and assets are optimized.

Sale Of Products	90.0%	90.0%	90.0%	94.0%	90.0%	91.0%
Sale of Services	2.9%	3.0%	3.7%	4.5%	3.7%	2.4%
Other Operating Revenue	0.5%	0.5%	0.7%	0.6%	0.5%	0.6%
#4/ Revenue From Operations	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%

Operating Asset Turnover Ratios	4.40	4.26	3.96	4.19	3.53	1.55
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Increase due to Price Vs Increase due to Volumes. Have an idea about company's

Now, this number in itself is neither good nor bad. However, there are two inferences to draw from this:

◇ Over time, if the numbers increase, the company is using its assets more efficiently.

◇ The numbers also need to be compared to similar numbers that the competitors have. If this company has a turnover ratio of 4 and a competitor has 5, the competitor is using its assets 25% better or more efficiently.



To sum up, operating assets turnover must always be compared over time and with peer numbers to get an accurate picture. Note that, Operating assets turnover is a mix of fixed assets turnover and working capital turnover.